



中國銀行(香港)
BANK OF CHINA (HONG KONG)



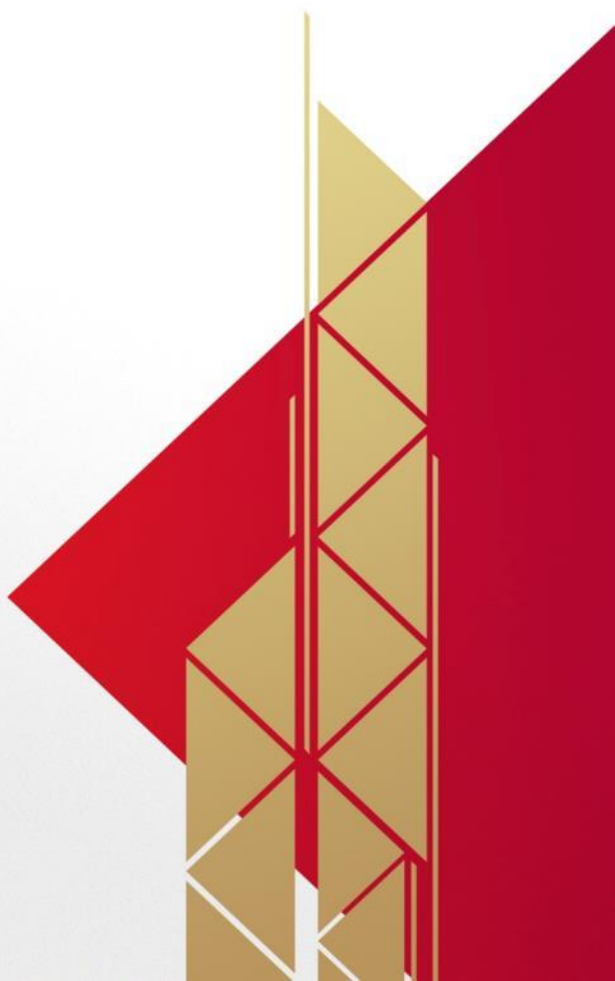
Future Payment / Investment Application

9 Jan 2018

E-Finance Centre



Future Payment



Current Services

- ▶ Full scope of payments services provided to customers
- ▶ End to end payments services provided to merchants
- ▶ Pioneer in collaborate with Wechat red packets in 2016
- ▶ Launch Small value P2P Payments
- ▶ Linked with WeChat platform for payments and transfers
- ▶ Top-up services in account for 3rd party APP payments

Collaborations and Partnering

- ▶ Enterprises: Communications , Utilities
- ▶ Payment Platforms : SVFs, Banks

Challenges



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- ▶ Financial Literacy
- ▶ Interbank/ Cross Border Barrier
- ▶ Methods of Payment Authentication
- ▶ Cost Barrier in SME Adoption of Payment Solutions
- ▶ Inclusion of unbanked customers, micro-services, finance & accounting suite that can include smaller companies, credit underwriting and evaluation, mobile payment and administering aid

Customer expectations



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- ▶ Seamless, secure, fast, low cost
- ▶ Borderless payments

Future development



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- ▶ Cross Border Payment Ecosystem
- ▶ Contextual Banking with Co-operations and Collaborations with Enterprises and Institutions

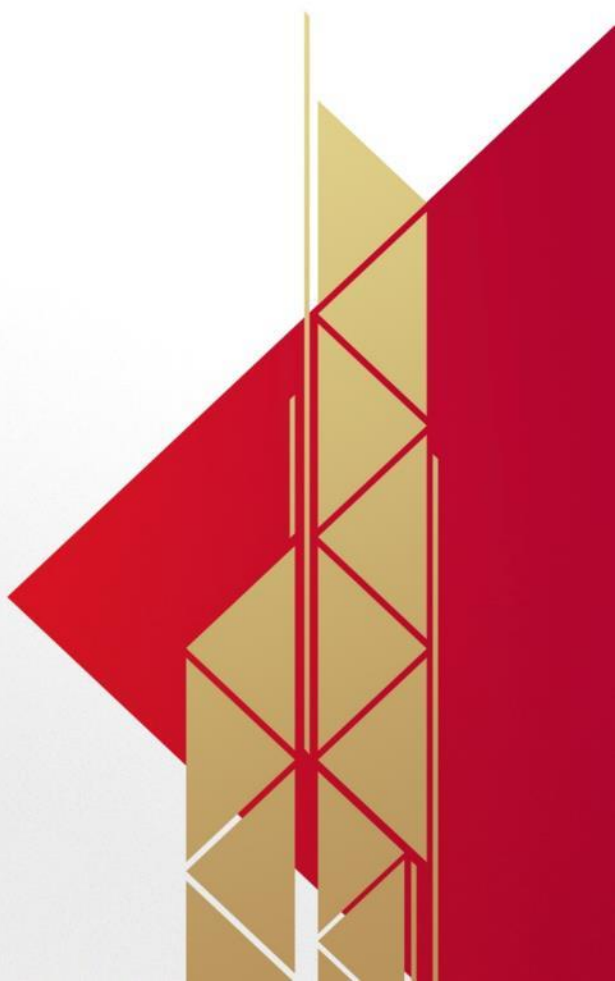


Problem Statement

- ▶ Problems relating to enabling Borderless Payment Solution, API gateway for connectivity to different payment platforms, efficient settlement, payment for small-value transaction, enhanced mobile wallet, automated payment engine, cross-platform payments.



Investment Application



Mainland investment market = Blue ocean

- Mass affluent class (individuals with RMB 650,000 to 6 million investable assets) will be the driving force in shaping the Chinese consumer's "New Normal"
- Younger, more tech-savvy, and free-spending cohort
- China's mass affluent population is expected to more than double from 15 Million in 2015 to 33 Million in 2020
- Investable assets projected to increase from RMB 21 Trillion in 2015 to RMB 45 Trillion in 2020

Exhibit 2: Allocation of additional income of RMB 10,000/month, 2016

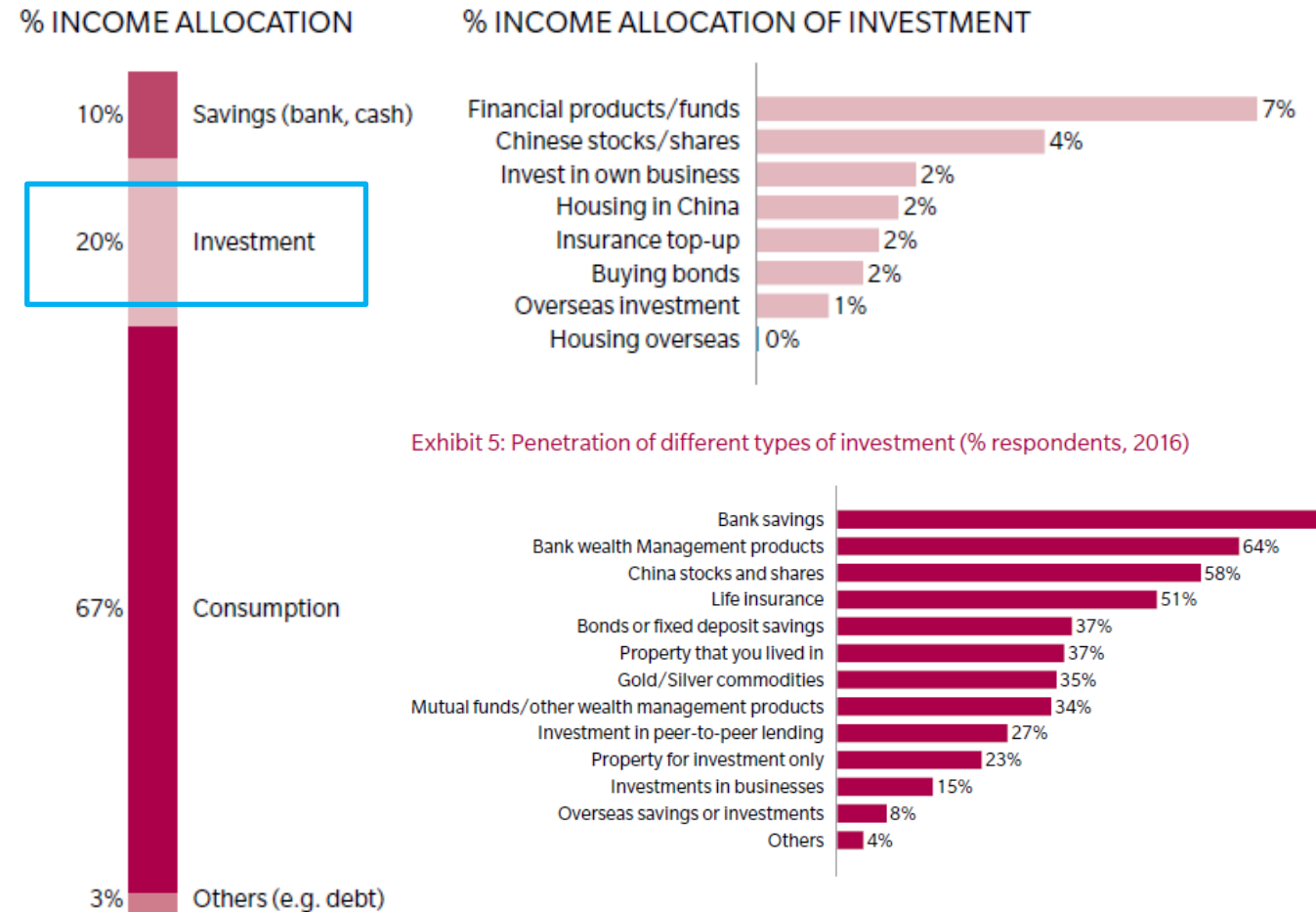
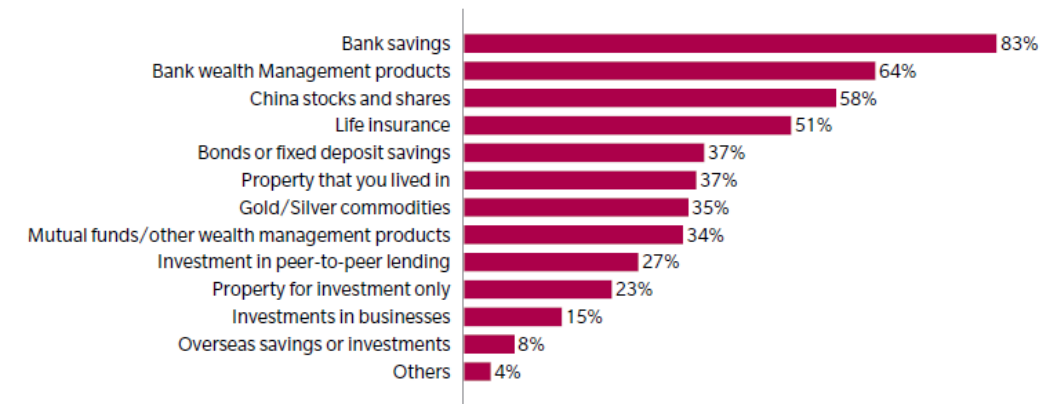


Exhibit 5: Penetration of different types of investment (% respondents, 2016)



Source: Oliver Wyman Chinese consumer and investor survey 2016, Oliver Wyman analysis

Creating new investment experience

中國民生銀行 直销銀行
CHINA MINSHENG BANK DIRECT BANK

网商银行
MYbank

ING DIRECT

WeBank

digibank
by DBS

HSBC

恒生銀行
HANG SENG BANK

平安銀行
PINGAN BANK

Peer

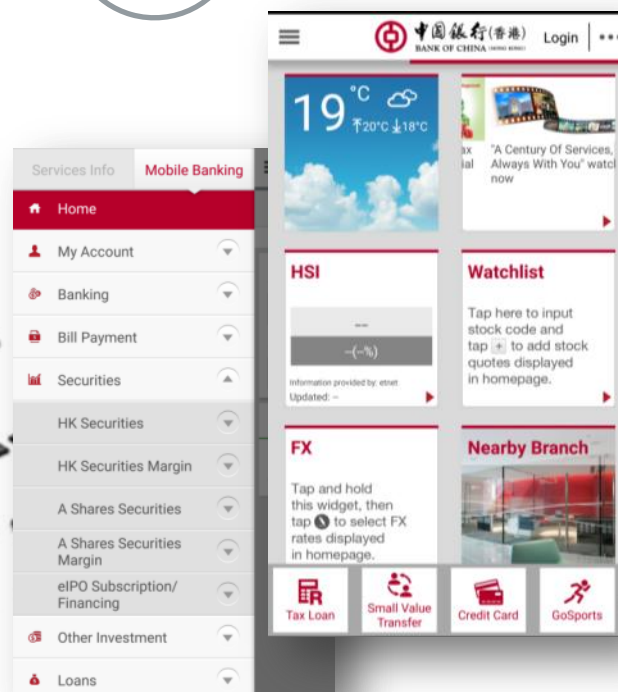
Product



Position

Combined with the advantages of BOCHK, the Bank aims at providing better services to customers through **digital channels** and **enhancing its overall customer experience in wealth management**

Current deficit



CUSTOMER
EXPERIENCE



INVESTMENT
ADVICE



INVESTMENT
ANALYSIS



INVESTMENT
GUIDE

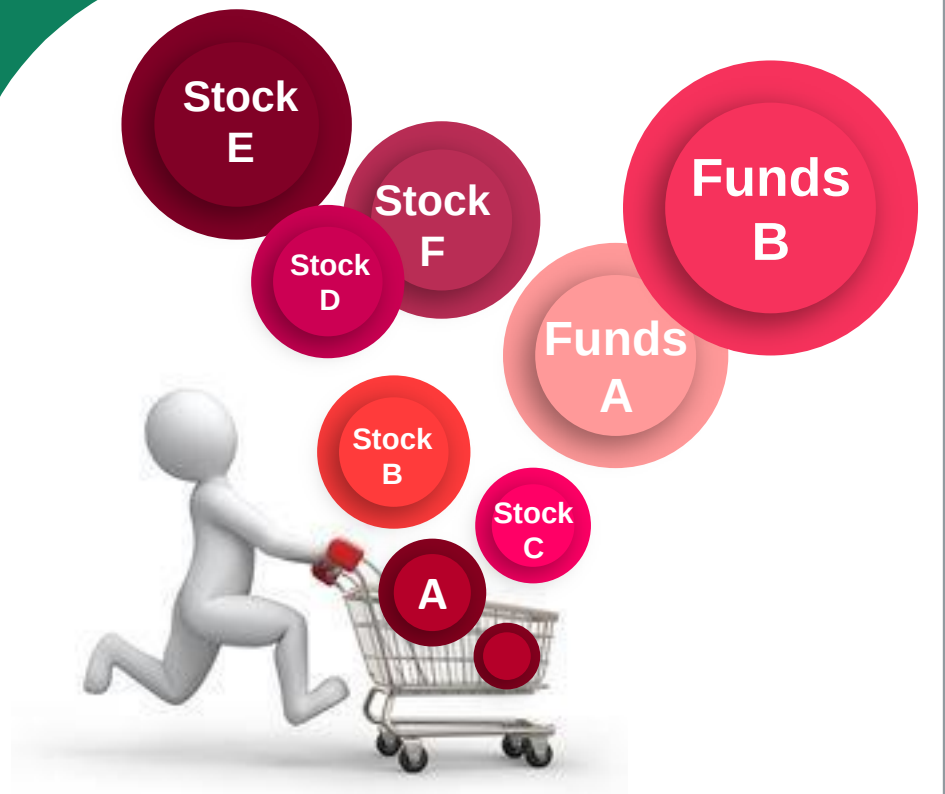
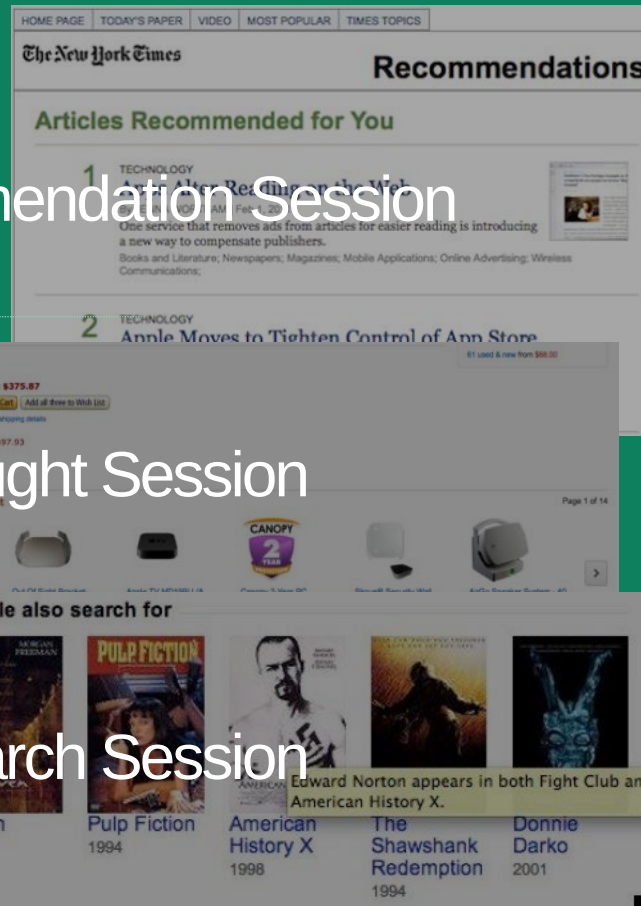
Consideration 1: You may also like

When we shop online, we usually rely on:

Recommendation Session

Also Bought Session

Also Search Session



Can we do the same for investment products?

Consideration 2: Popular investment product

Before 2016 US President Election, AI system already predicted that Trump would win



A CNBC SPECIAL REPORT

TECH | MOBILE | SOCIAL MEDIA | ENTERPRISE | CYBERSECURITY | TECH GUIDE

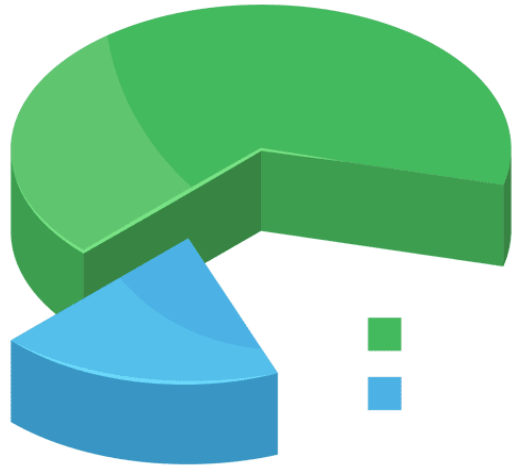
Trump will win the election and is more popular than Obama in 2008, AI system finds

Arjun Kharpal | @ArjunKharpal
Published 6:40 AM ET Fr

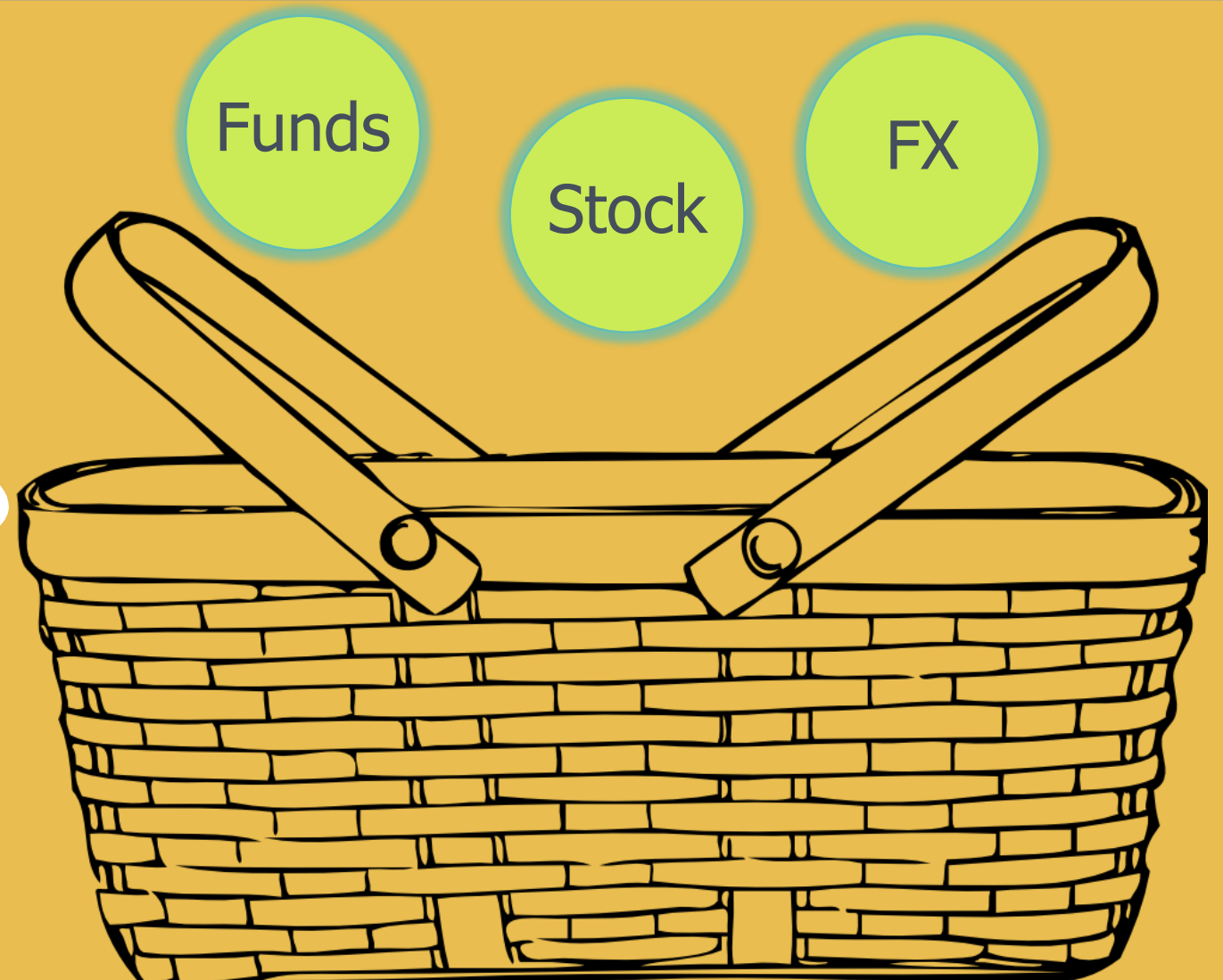


Can we identify the next "STAR" investment product?

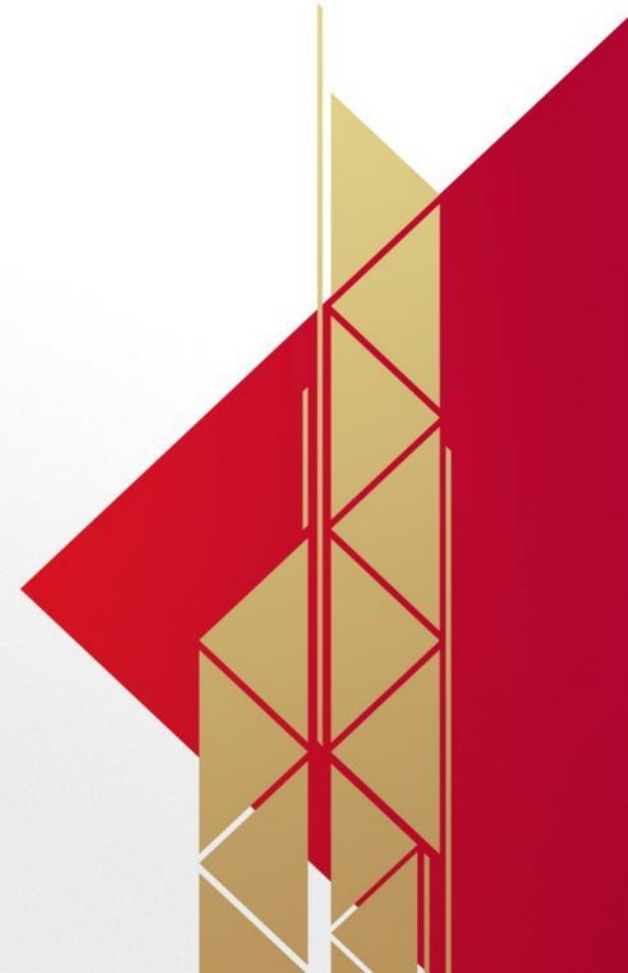
Consideration 3: Asset allocation



What should be the investment portfolio to attain desirable profit with controllable risk?



Q&A





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Thanks!